Carrier Global Corporation (CARR) - Long

Market Cap: 45.32 B | **Share Price:** 54.25 | **Target Price**: $66.92 | 12 Months | Mickey Chapple

Sales Thesis

I recommend buying shares of Carrier Global Corporation (CARR) with a 12-month price target of $66.92, representing approximately 23% upside from the current price of $54.25, derived by applying a 23.9x forward multiple to 2026 consensus EPS of $2.80. The market is mispricing CARR as a distressed residential HVAC company, overlooking a $1.5B data center cooling business growing 50% annually and a cyclical residential recovery the market isn't pricing in. A $1.5B buyback provides downside support while both catalysts play out, and CARR trades at a steep discount to peers TT and JCI on every valuation metric.

Catalysts

1. AI Data Center Cooling Inflection

- Data center revenue grew $1B in 2025, guiding $1.5B in 2026
- More GPUs mean more heat. Carrier has the scale to service hyperscaler demand

2. Residential HVAC Destocking Recovery

- Residential volumes down 40% in Q4 — cyclical trough, not structural
- Distributor inventories down 30% YoY to 2018 levels, remaining 2M unit overage expected to clear in 2026

3. Capital Return Program / Margin Expansion

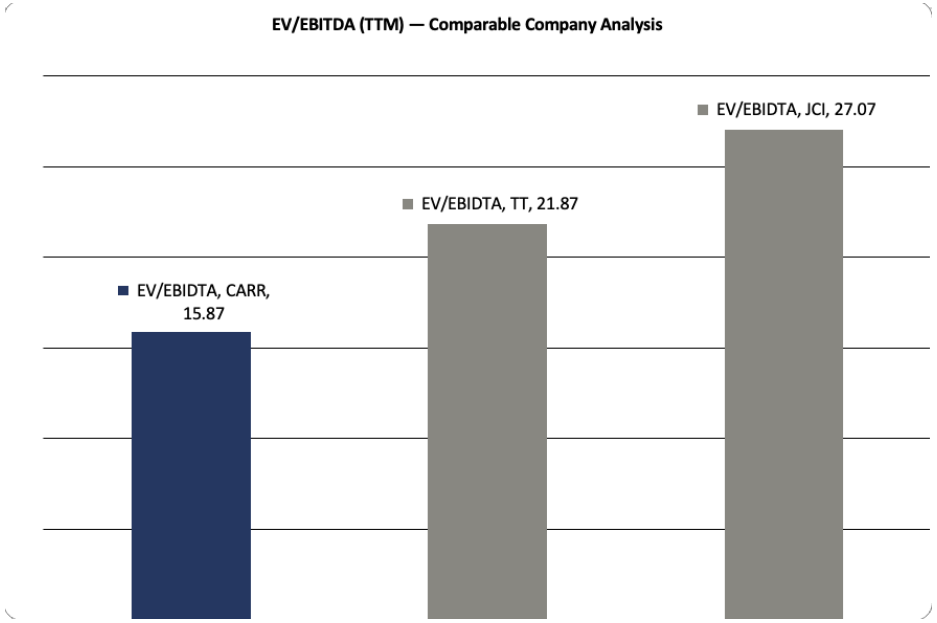
- 3,000 jobs cut, $100M overhead savings, $400M total productivity actions in 2025
- $1.5B buyback planned, EPS guided $2.80 up 8% YoY

Risk

The biggest risk is residential HVAC demand remaining suppressed longer than expected.

Expected Valuation:

Target Price: $66.92 — Forward P/E methodology, 23.9x applied to 2026 consensus EPS of $2.80, implying 23% upside from current levels.



	Share Price	P/E (Fwd)	EV/EBIDTA	P/S TTM	Beta	Market Cap
CARR	54.36	19.38	15.87	2.15	1.29	45.44B
TT	410.23	31.22	21.87	4.33	1.19	90.96B
JCI	131.29	44.06	27.07	3.51	1.39	80.36B